

7-4a Bank Statement

Banks maintain a record of all checking account transactions. A summary of all transactions, called a **bank statement** ([A summary of all checking account transactions mailed to the depositor or made available online by the bank each month.](#)), is mailed, usually each month, to the company (depositor) or made available online. The bank statement shows the beginning balance, additions, deductions, and the ending balance. A typical bank statement is shown in [Exhibit 9](#) for **Power Networking**.

Exhibit 9

Bank Statement

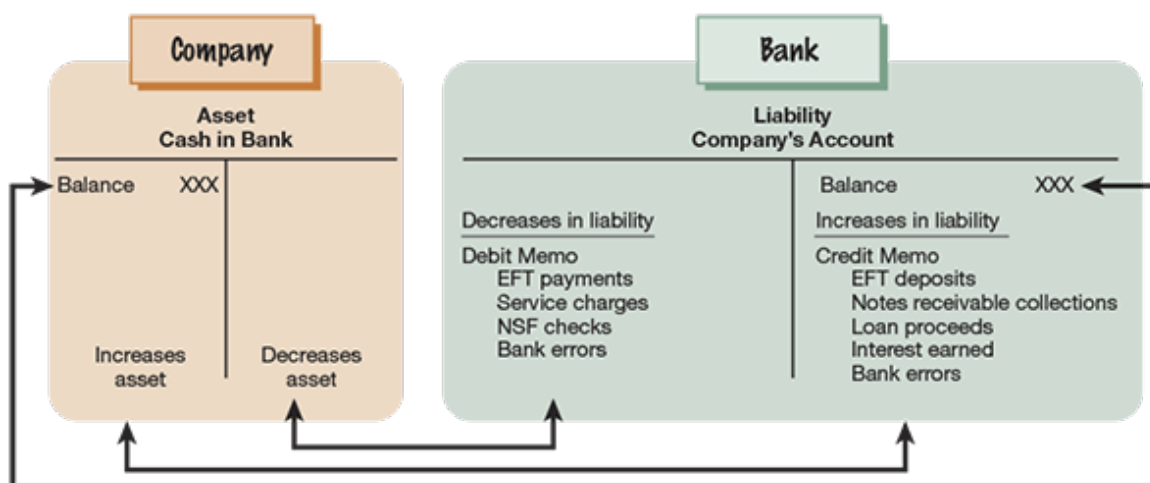
MEMBER FDIC				PAGE 1	
VALLEY NATIONAL BANK OF LOS ANGELES				ACCOUNT NUMBER	1627042
LOS ANGELES, CA 90020-4253 (310) 555-5151				FROM 6/30/20Y6 TO 7/31/20Y6	
				BALANCE	4,218.60
				22 DEPOSITS	13,749.78
				52 WITHDRAWALS	14,698.87
POWER NETWORKING 1000 Belkin Street Los Angeles, CA 90014-1000				3 OTHER DEBITS AND CREDITS	90.00CR
				NEW BALANCE	3,389.78
* -- CHECKS AND OTHER DEBITS ----- * ----- DEPOSITS -- -DATE * BALANCE *					
No. 880	819.40	No. 882	122.84	888.78	07/01 3,862.41
No. 884	369.80	No. 883	20.18	421.83	07/02 3,894.29
No. 881	600.00	No. 886	190.70	781.30	07/03 3,884.89
No. 888	28.93	No. 887	52.80		07/04 3,808.46
No. 860	921.20	No. 888	160.00	662.80	07/06 3,387.78
No. 862	91.07	NSF	300.00	803.18	07/07 3,499.87
No. 880	32.26	No. 877	838.09	ACH 932.00	07/29 4,136.66
No. 881	21.10	No. 879	732.26	708.21	07/30 4,088.81
No. 882	126.20	SC	18.00	MS 408.00	07/30 4,382.31
No. 874	26.12	ACH	1,618.13	648.72	07/31 3,389.78
EC — ERROR CORRECTION			ACH — AUTOMATED CLEARING HOUSE		
MS — MISCELLANEOUS					
NSF — NOT SUFFICIENT FUNDS			SC — SERVICE CHARGE		
* * *					
THE RECONCILEMENT OF THIS STATEMENT WITH YOUR RECORDS IS ESSENTIAL.					
ANY ERROR OR EXCEPTION SHOULD BE REPORTED IMMEDIATELY.					

Checks or copies of the checks listed in the order that they were paid by the bank may accompany the bank statement. If paid checks are returned, they are stamped “Paid,” together with the date of payment. Many banks no longer return checks or check copies. Instead, the check payment information is available online.

The company's checking account balance *in the bank records* is a liability. Thus, in the bank's records, the company's account has a credit balance. Because the bank statement is prepared from the bank's point of view, a credit memo entry on the bank statement indicates an increase (a credit) to the company's account. Likewise, a debit memo entry on the bank statement indicates a decrease (a debit) in the company's account. This relationship is shown in [Exhibit 10](#).

Exhibit 10

Checking Account: Company and Bank Perspectives



A bank makes credit entries (issues credit memos) for the following:

- Deposits made by electronic funds transfer (EFT)
- Collections of notes receivable for the company
- Proceeds for a loan made to the company by the bank
- Interest earned on the company's account
- Correction (if any) of bank errors

A bank makes debit entries (issues debit memos) for the following:

- Payments made by electronic funds transfer (EFT)
- Service charges
- Customer checks returned for not sufficient funds
- Correction (if any) of bank errors

Customers' checks returned for not sufficient funds, called *NSF checks*, are customer checks that were initially deposited but were not paid by the customer's bank. Because the company's bank credited the customer's check to the company's account when it was deposited, the bank debits the company's account (issues a debit memo) when the check is returned without payment.

The reason for a credit or debit memo entry is indicated on the bank statement. [Exhibit 9](#) identifies the following types of credit and debit memo entries:

- EC: Error correction to correct bank error
- NSF: Not sufficient funds check
- SC: Service charge
- ACH: Automated clearing house entry for electronic funds transfer
- MS: Miscellaneous item such as collection of a note receivable on behalf of the company or receipt of a loan by the company from the bank

The preceding list includes the notation “ACH” for electronic funds transfers. ACH is a network for clearing electronic funds transfers among individuals, companies, and banks. Because electronic funds transfers may be either deposits or payments, ACH entries may indicate either a debit or credit entry to the company’s account. Likewise, entries to correct bank errors and miscellaneous items may indicate a debit or credit entry to the company’s account.